LIG Defense&Aerospace (079550 KS)

3Q preview: earnings likely sluggish, focus shifts to orders

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BUY (M)

Target price	W1,050,000 (M)
Previous target price	W1,050,000
Current price (Oct 08)	W616,000
Upside potential	70%

Market cap (Wbn)	13,552
Shares outstanding	23,150,000
Avg daily T/O (2M, Wbn)	87
Avg daily volume (2M, shrs)	120,845
52-week high/low (won)	1,020,000 / 364,500
Foreign ownership (%)	26.13%
Dividend yield (%)	0.70%
Major shareholders	LIG Corp & others

Stock performance

(%)	1M	3M	12M
Absolute	(7.5)	(13.7)	22.0
Relative	(2.9)	(5.6)	(34.7)
Abs (US$)	(7.0)	(3.4)	27.6

3Q26 preview: earnings likely sluggish

We expect LIG Defense & Aerospace to report 3Q26E consolidated sales of W1.1969tn (+14.1% YoY) and OP of W95.7bn (+6.9% YoY, OPM 8.0%), with both missing their respective consensus estimates of W1.25tn and W107.2bn. Progress-based revenue recognition for Cheongung-II deliveries to the UAE appears to be proceeding smoothly, but earnings will likely be weighed down by adverse forex effects compared with the previous quarter and a weaker sales mix, with the export share likely declining from 25.4% in 2Q26 to 23.4% in 3Q26. The timing of R&D spending could also affect earnings. The firm previously indicated additional spending of approximately W150bn-200bn in 2H26, compared with around W53bn in 1H26. Our estimates assume that most of this spending will occur in 4Q26. Given that the increase was communicated in advance, we expect a limited near-term share price impact unless the earnings weakness reflects a deterioration in the core business.

Focus shifts to orders

Starting in 4Q26, we expect the firm's order intake to recover from its weak first-half performance. In Korea, the company has been selected as the preferred bidder for the W1.9tn long-range air-to-air missile program (W750bn for development and W1.15tn for mass production). The final contract is expected to be signed in December. Meanwhile, administrative procedures in Middle Eastern countries, previously disrupted by the Iran situation, appear to have partially resumed in 3Q26. Discussions on new Cheongung-II purchases by Qatar and Kuwait, additional Cheongung interceptor missiles for the UAE, and a new UAE L-SAM contract should take clearer shape in 4Q26. European projects, including L-SAM in Switzerland and a JV with Rheinmetall, are also expected to advance.

Maintain BUY and our target price of W1,050,000

The company's mid- to long-term growth outlook remains intact, with new orders offering potential for upward revisions to earnings estimates. The existing order backlog alone supports a rising export share and improving profitability through 2028, while shortages of air defense systems have intensified since the start of the year. During the Russia-Ukraine war, suppliers of land defense systems that faced supply shortages achieved higher-than-expected profitability. New orders from Middle Eastern countries, including Qatar, which have been delayed by the prolonged Iran situation this year, appear imminent. The company should be able to meet this demand through its second Gimcheon plant, which could begin operating as early as 2H27.

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	1,197	14.1	7.8	1,249	-4.2
OP	96	6.9	-9.4	107	-10.7
Pre-tax net profit	52	-24.6	-48.7	104	-49.9
Net profit, CI	55	-6.6	-32.9	88	-37.2
OPM (%)	8.0	-0.5 %pt	-1.5 %pt	8.6	-0.6 %pt
NPM (%)	4.6	-1.1 %pt	-2.8 %pt	7.1	-2.5 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	3,276	4,307	5,143	6,113
OP	223	319	414	632
Net profit, CI	219	253	331	517
P/E (x)	18.6	35.6	41.0	26.2
P/B (x)	3.3	6.3	6.4	5.4
EV/EBITDA (x)	13.2	22.4	26.5	19.1
ROE (%)	19.4	19.2	18.2	21.3

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

3Q26E preview (Wbn)

	Our estimate	Consensus	Difference (%)	Growth (% YoY)
Sales	**1,196.9**	1,248.8	-4.2	14.1
OP	**95.7**	107.2	-10.7	6.9
OPM (%)	**8.0**	8.6	-0.6	-0.5

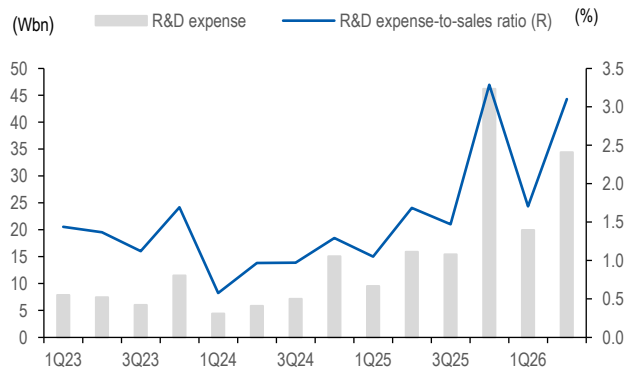
Source: Yuanta Securities

LIG D&A: earnings table (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E	2028E
Consolidated sales	**907.6**	**945.4**	**1,049.2**	**1,404.9**	**1,167.9**	**1,110.1**	**1,196.9**	**1,668.3**	**4,306.9**	**5,143.2**	**6,112.6**	**7,551.4**
Growth (% YoY)	*18.9*	*56.3*	*41.7*	*20.3*	*28.7*	*17.4*	*14.1*	*18.7*	*31.5*	*19.4*	*18.8*	*23.5*
Domestic	722.6	780.7	862.1	1,019.9	762.7	828.3	917.2	1,324.3	3,385.3	3,832.6	4,247.7	4,924.6
Exports	185.0	164.7	187.1	385.0	405.2	281.8	279.6	344.0	921.8	1,310.6	1,864.9	2,626.8
Share of exports (%)	20.4	17.4	17.8	27.4	34.7	25.4	23.4	20.6	21.4	25.5	30.5	34.8
OP	**109.6**	**81.6**	**89.6**	**38.7**	**171.1**	**105.7**	**95.7**	**41.7**	**319.4**	**414.3**	**620.5**	**833.8**
Growth (% YoY)	*63.6*	*66.1*	*72.6*	*-30.0*	*56.1*	*29.6*	*6.9*	*7.8*	*43.1*	*29.7*	*49.8*	*34.4*
OPM (%)	**12.1**	**8.6**	**8.5**	**2.8**	**14.7**	**9.5**	**8.0**	**2.5**	**7.4**	**8.1**	**10.2**	**11.0**

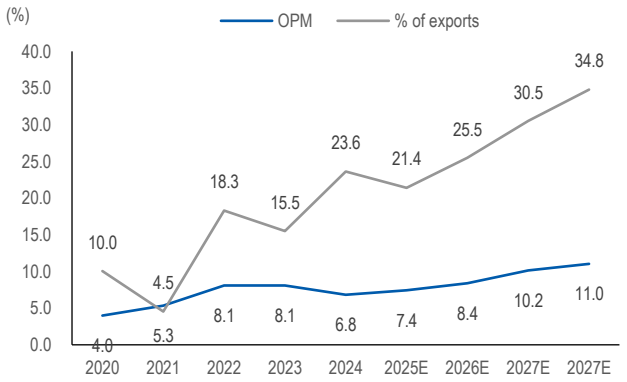
Source: Yuanta Securities

R&D expense



Source: FnGuide Quantiwsie, Yuanta Securities

Share of exports and OPM



Source: Yuanta Securities

Global defense peers: valuation table **(Wtn, x, %)**

		LIG D&A	Hanwha Aerospace	Korea Aerospace Industries	Hyundai Rotem	RTX	Northrop Grumman	Rheinmetall	Thales	Elbit Systems
Market cap (Wtn)		**13.6**	45.9	11.8	11.5	336.4	91.6	65.7	67.6	41.4
Sales (Wtn)	2025	**4.3**	26.7	3.7	5.8	126.0	59.7	16.0	35.6	11.3
	2026E	**5.1**	32.1	5.4	6.8	129.2	59.2	21.0	35.8	12.2
	2027E	**6.1**	34.6	6.7	8.0	139.2	63.0	28.2	39.0	13.6
	2028E	**7.2**	37.6	7.6	9.2	149.0	67.0	37.3	42.7	15.0
OP (Wtn)	2025	**0.3**	3.1	0.3	1.0	13.2	6.4	2.6	3.3	1.0
	2026E	**0.5**	4.7	0.4	1.1	17.3	6.2	3.8	4.6	1.2
	2027E	**0.6**	5.8	0.6	1.4	18.9	6.7	5.4	5.2	1.4
	2028E	**0.9**	6.5	0.8	1.8	20.8	7.2	7.4	5.8	1.6
OPM (%)	2025	**7.4**	11.6	7.3	17.2	10.5	10.8	16.5	9.3	8.5
	2026E	**9.0**	14.6	7.0	16.0	13.4	10.5	17.9	12.8	10.0
	2027E	**10.6**	16.7	9.1	17.9	13.6	10.7	19.3	13.2	10.5
	2028E	**12.1**	17.4	10.1	19.4	14.0	10.8	19.8	13.5	10.5
Net profit (Wtn)	2025	**0.3**	1.4	0.2	0.8	9.6	5.9	1.1	2.7	0.8
	2026E	**0.4**	2.4	0.3	0.9	13.3	5.5	2.3	3.3	1.1
	2027E	**0.5**	3.0	0.4	1.1	14.4	5.8	3.6	3.8	1.2
	2028E	**0.7**	3.3	0.6	1.4	15.8	6.2	4.9	4.3	1.4
ROE (%)	2025	**19.2**	23.0	9.7	26.5	12.0	27.0	15.1	19.8	15.2
	2026E	**23.0**	21.8	13.3	25.3	14.3	22.9	28.9	24.6	17.7
	2027E	**26.0**	22.7	19.9	25.6	14.9	21.4	34.8	25.2	18.8
	2028E	**28.4**	21.6	21.8	25.0	15.6	21.1	37.0	24.6	19.6
P/E (x)	2025	**36.6**	33.4	59.9	26.8	29.2	22.7	68.1	28.2	49.2
	2026E	**36.3**	19.6	45.5	13.0	25.6	16.6	25.6	20.7	40.6
	2027E	**25.6**	15.4	26.4	10.0	23.5	15.9	17.4	17.8	35.8
	2028E	**18.8**	13.9	20.3	8.1	21.4	14.7	12.6	15.7	30.8
P/B (x)	2025	**6.5**	5.1	6.1	6.7	3.8	4.9	14.3	5.9	6.5
	2026E	**7.6**	3.8	5.7	2.9	3.7	3.6	7.0	5.1	6.9
	2027E	**6.1**	3.1	4.9	2.3	3.5	3.2	5.4	4.4	6.2
	2028E	**4.8**	2.6	4.1	1.8	3.4	2.9	4.2	3.9	5.4
EV/EBITDA (X)	2025	**22.8**	15.4	35.1	18.2	19.8	14.9	33.5	15.5	28.0
	2026E	**24.6**	10.8	29.4	7.7	18.3	13.2	15.1	11.5	26.8
	2027E	**18.7**	8.9	19.6	6.0	16.6	12.3	10.8	10.5	23.2
	2028E	**14.4**	8.0	16.0	4.8	15.2	11.5	7.9	9.4	20.0

Note: 1) figures for both domestic and overseas companies are Wtn; 2) as of the Oct 12 close price
Source: Bloomberg, Yuanta Securities

LIG Defense&Aerospace (079550 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**3,276**	**4,307**	**5,143**	**6,113**	**7,551**
Cost of sales	2,824	3,644	4,192	4,857	5,913
Gross profit	453	663	951	1,256	1,639
SG&A	229	343	537	623	805
Operating profit	**223**	**319**	**414**	**632**	**834**
EBITDA	309	444	562	801	996
Non-operating profit	-20	-41	-50	-63	-61
Forex gains	37	2	26	30	30
Net interest income	-2	-8	-18	-25	-23
Equity-method gains	0	1	1	1	1
Other	-55	-37	-58	-68	-68
Net prof before income tax	203	278	365	570	773
Income tax	-10	41	55	85	115
Net profit from continuing ops	213	237	310	484	658
Net profit from discontinued ops	0	0	0	0	0
Net profit	213	237	310	484	658
NP for controlling interest	**219**	**253**	**331**	**517**	**702**
Total comprehensive income	198	242	314	489	662
Total comprehensive income, CI	199	261	338	526	713

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**3,895**	**5,622**	**7,665**	**9,614**	**12,555**
Cash & cash equivalents	547	125	640	905	1,516
Accounts receivables & other	425	553	671	798	985
Inventory	364	593	708	842	1,040
Non-current assets	2,297	2,443	2,650	2,837	2,783
Tangible assets	1,371	1,533	1,768	1,980	1,946
Investment in affiliates	3	10	11	14	17
Other investment assets	77	78	81	84	90
Total assets	**6,192**	**8,065**	**10,315**	**12,451**	**15,338**
Current liabilities	4,617	6,216	7,705	9,438	11,767
Accounts payable & other	727	1,418	1,693	2,032	2,510
ST financial liabilities	163	568	968	1,418	1,868
Liquid LT liabilities	41	35	35	35	35
Non-current liabilities	311	373	379	386	403
LT financial liabilities	51	163	158	153	153
Debentures	137	92	92	92	92
Total liabilities	**4,928**	**6,589**	**8,084**	**9,823**	**12,171**
Equity, controlling interest	1,209	1,430	2,206	2,635	3,218
Paid-in capital	110	110	114	114	114
Capital surplus	142	153	654	654	654
Retained earnings	905	1,106	1,372	1,797	2,376
Equity, non-controlling interest	55	46	25	-7	-51
Total equity	**1,264**	**1,476**	**2,231**	**2,628**	**3,167**
Net debt	**-75**	**896**	**1,285**	**1,721**	**869**
Total debt	494	1,053	1,473	1,947	2,440

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**952**	**-584**	**145**	**369**	**466**
Net profit	213	237	310	484	658
Depreciation & amortization	68	89	115	138	134
Forex gains	-30	-6	-26	-30	-30
Affiliate investment gains	0	-1	-1	-1	-1
Increase in net working cap	605	-1,105	-454	-421	-492
Other	96	201	201	199	196
Investing cash flow	**-975**	**-276**	**-383**	**-385**	**-141**
Investment	-3	-4	-5	-6	-8
Increase in tangible assets	-497	-170	-350	-350	-100
Decrease in tangible assets	0	4	0	0	0
Other	-475	-106	-28	-29	-33
Financing cash flow	**120**	**439**	**782**	**304**	**292**
ST financial liabilities	65	463	425	479	493
Debenture/LT financial liabilities	130	96	-5	-5	0
Equity	0	11	505	0	0
Cash dividend	-42	-52	-64	-92	-122
Other cash flow	-33	-79	-79	-79	-79
Consolidation adj and other	5	-1	-29	-22	-6
Increase in cash & equivalents	**102**	**-422**	**515**	**265**	**611**
Beginning cash & equivalents	445	547	125	640	905
Ending cash & equivalents	547	125	640	905	1,516
NOPLAT	234	319	**414**	**632**	**834**
FCF	**455**	**-754**	**-205**	**19**	**366**

Valuation

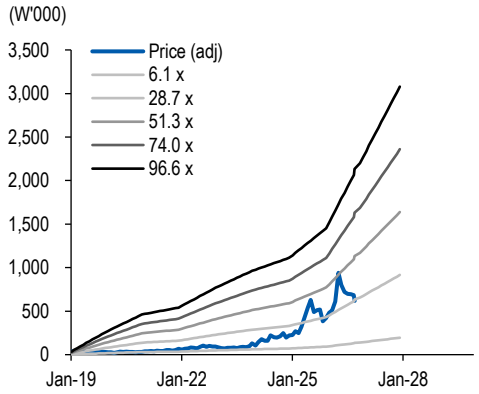
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	9,974	11,516	15,026	23,483	31,896
BPS (won)	55,488	65,465	95,920	114,580	139,959
EBITDA/shr (won)	14,048	20,163	25,353	34,584	43,031
SPS (won)	148,925	195,770	232,152	264,044	326,196
DPS (won)	2,400	2,950	4,200	5,600	5,600
P/E (x)	**18.6**	**35.6**	**41.0**	**26.2**	**19.3**
P/B (x)	**3.3**	**6.3**	**6.4**	**5.4**	**4.4**
EV/EBITDA (x)	**13.2**	**22.4**	**26.5**	**19.1**	**14.4**
P/S (x)	**1.2**	**2.1**	**2.7**	**2.3**	**1.9**

Key financial data

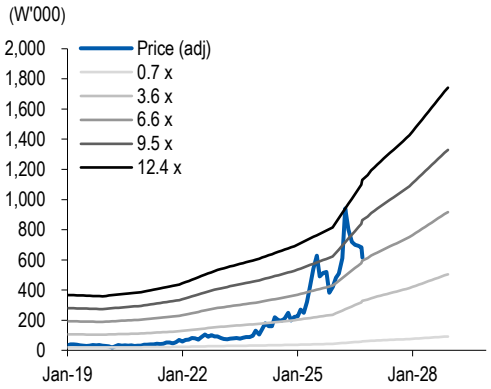
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**41.9**	**31.5**	**19.4**	**18.8**	**23.5**
Operating profit (%YoY)	**19.9**	**43.0**	**29.7**	**52.6**	**31.9**
Net profit, CI (%YoY)	**25.4**	**15.5**	**30.5**	**56.3**	**35.8**
Gross margin (%)	13.8	15.4	18.5	20.5	21.7
Operating margin (%)	**6.8**	**7.4**	**8.1**	**10.3**	**11.0**
Net margin, CI (%)	6.7	5.9	6.4	8.5	9.3
EBITDA margin (%)	9.4	10.3	10.9	13.1	13.2
ROIC (%)	26.0	16.9	14.4	17.4	19.8
ROA (%)	4.4	3.6	3.6	4.5	5.1
ROE (%)	**19.4**	**19.2**	**18.2**	**21.3**	**24.0**
Debt-to-equity (%)	389.9	446.4	362.3	373.8	384.3
Net debt-to-equity (%)	-6.2	62.6	58.2	65.3	27.0
OP/financing cost (x)	18.7	25.3	20.1	22.7	23.3

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

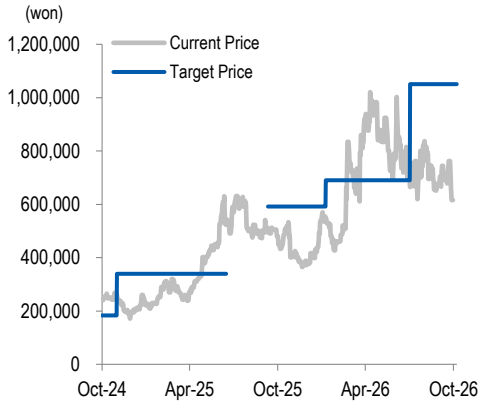
P/E band chart



P/B band chart



LIG Defense&Aerospace (079550 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/12	BUY	1,050,000	1 yr		
2026/07/14	BUY	1,050,000	1 yr		
2026/01/20	BUY	690,000	1 yr	7.75	47.83
2025/09/22	BUY	592,000	1 yr	-24.25	-3.72
	Analyst changed				
2024/11/12	BUY	340,000	1 yr	-11.50	85.29
2024/03/06	BUY	184,000	1 yr	7.01	46.20

Note: Difference = (actual price* - target price) / target price x 100

* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested

Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 12, 2026

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Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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